

The Coca-Cola Company

Course Correction

We tweak up our 2024 EPS estimate but now anchor to +LSD growth in 2025 in light of a bigger currency headwind and higher net interest expense than we previously modeled.

3Q volumes came in lighter than anticipated, and this miss - coupled with implied 4Q organic sales growth and 2025 EPS growth that is more subdued than we think most had been modeling - understandably gave some investors pause. But we view the volume weakness as transitory and think the more relevant takeaway is instead the System's ability to mobilize quickly and course correct the business over the quarter. And while we have tempered our 2025 EPS estimates to reflect KO's new currency outlook issued yesterday (and better capture elevated net interest expense), we remain anchored to the high end of the company's long term algorithm for organic revenue growth with a good balance between volumes and price/mix.

KO: Quarterly and Annual EPS (USD)

	2023	2024			2025			Change y/y	
FY Dec	Actual	Old	New	Cons	Old	New	Cons	2024	2025
Q1	0.68A	0.72A	0.72A	0.72A	0.74E	0.72E	0.76E	6%	0%
Q2	0.78A	0.84A	0.84A	0.84A	0.89E	0.87E	0.88E	8%	4%
Q3	0.74A	0.74E	0.77A	0.75E	0.80E	0.81E	0.80E	4%	5%
Q4	0.49A	0.54E	0.52E	0.54E	0.58E	0.55E	0.58E	6%	6%
Year	2.69A	2.84E	2.85E	2.85E	3.01E	2.95E	3.04E	6%	4%
P/E	25.3		23.8			23.1			

Consensus numbers are from Bloomberg received on 23-Oct-2024; 12:50 GMT
Source: Barclays Research

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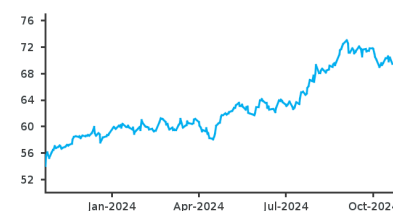
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CORE

KO	OVERWEIGHT Unchanged
U.S. CHPC & Beverages	NEUTRAL Unchanged
Price Target	USD 73.00 lowered -1% from USD 74.00
Price (23-Oct-24)	USD 68.01
Potential Upside/Downside	+7.3%

Market Cap (USD mn)	293114
Shares Outstanding (mn)	4309.87
Free Float (%)	81.26
52 Wk Avg Daily Volume (mn)	13.5
Dividend Yield (%)	2.85
Return on Equity TTM (%)	41.06
Current BVPS (USD)	6.00
Source: Bloomberg	

Price Performance	Exchange-NYSE
52 Week range	USD 73.53-54.05



Source: IDC
[Link to Barclays Live for interactive charting](#)

U.S. CHPC & Beverages

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U.S. CHPC & Beverages

NEUTRAL

The Coca-Cola Company (KO)

OVERWEIGHT

Income statement (\$mn)	2023A	2024E	2025E	2026E	CAGR
Revenue	45,784	46,259	48,217	50,985	3.7%
EBITDA (adj)	14,464	15,032	15,751	16,909	5.3%
EBIT (adj)	13,336	13,922	14,593	15,686	5.6%
Pre-tax income (adj)	14,403	15,200	15,742	17,035	5.8%
Net income (adj)	11,660	12,324	12,738	13,615	5.3%
EPS (adj) (\$)	2.69	2.85	2.95	3.15	5.4%
Diluted shares (mn)	4,338.8	4,321.8	4,323.0	4,323.0	-0.1%
DPS (\$)	1.84	1.94	2.02	2.10	4.5%
Margin and return data	2023A	2024E	2025E	2026E	Average
Gross margin (%)	59.7	60.9	61.1	61.4	60.8
EBITDA (adj) margin (%)	31.6	32.5	32.7	33.2	32.5
EBIT (adj) margin (%)	29.1	30.1	30.3	30.8	30.1
Pre-tax (adj) margin (%)	31.5	32.9	32.6	33.4	32.6
Net (adj) margin (%)	25.5	26.6	26.4	26.7	26.3
ROIC (%)	22.8	29.5	25.8	26.3	26.1
ROA (%)	11.1	11.7	11.8	11.8	11.6
ROE (%)	42.4	70.6	47.5	42.7	50.8
Balance sheet and cash flow (\$mn)	2023A	2024E	2025E	2026E	CAGR
Cash and equivalents	9,366	11,531	13,157	16,049	19.7%
Total assets	97,703	96,221	100,294	106,051	2.8%
Short and long-term debt	42,064	45,437	45,437	45,437	2.6%
Total liabilities	70,223	78,762	73,484	74,139	1.8%
Net debt/(funds)	28,401	29,609	27,983	25,091	-4.0%
Shareholders' equity	27,480	17,459	26,809	31,912	5.1%
Change in working capital	-846	-6,771	5,534	-206	N/A
Cash flow from operations	11,599	5,510	18,550	14,160	6.9%
Capital expenditure	-1,852	-2,244	-2,073	-2,192	N/A
Free cash flow	9,747	3,266	16,477	11,968	7.1%
Valuation and leverage metrics	2023A	2024E	2025E	2026E	Average
P/E (adj) (x)	25.3	23.8	23.1	21.6	23.5
EV/sales (x)	6.6	6.6	6.3	5.9	6.3
EV/EBITDA (adj) (x)	20.9	20.2	19.2	17.7	19.5
EV/EBIT (adj) (x)	22.7	21.8	20.7	19.1	21.1
Equity FCF yield (%)	3.3	1.1	5.6	4.1	3.5
P/BV (x)	10.7	16.8	11.0	9.2	11.9
Dividend yield (%)	2.7	2.9	3.0	3.1	2.9
Total debt/capital (%)	60.5	72.2	62.9	58.7	63.6
Net debt/EBITDA (adj) (x)	2.0	2.0	1.8	1.5	1.8
Selected operating metrics	2023A	2024E	2025E	2026E	Average
Organic sales growth (%)	12.0	10.5	6.6	5.7	8.7
Volume growth (%)	2.0	0.7	3.2	3.5	2.4
Price growth (%)	10.0	9.7	3.4	2.2	6.3

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (23-Oct-2024) **USD 68.01**
 Price Target **USD 73.00**

Why OVERWEIGHT?

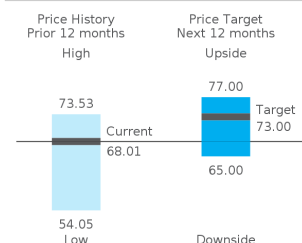
We expect KO's comprehensive transformation to re-accelerate the top and bottom line. As the company demonstrates an ability to sustainably deliver its algorithm, we expect more valuation credit to be given.

Upside case USD 77.00

Our upside case assumes that KO trades at a +27.5% premium to Large-Cap Staples on upside 2025 EPS of \$3.05.

Downside case USD 65.00

Our downside case assumes that KO trades at a 12.5% to Large-Cap Staples on downside 2025 EPS of \$2.91.

Upside/Downside scenarios

Course Correction

What to do with the stock: It was surely a noisy tape yesterday in Consumer, but our sense is that KO's negative reaction was primarily due to 3Q volumes coming in light of expectations. For our part, we're inclined to think the knee-jerk reaction was overplayed and expect this weakness will prove to be short-term in nature. That said, it also feels to us like the market is

still generally in the process of recalibrating expectations to more normalized organic sales growth across the large-cap Staples universe after a few years of super-charged growth. And while we think there is still a ways to go in this process across much of our coverage, KO should continue to stand out for its solid, mid-single digit revenue growth, even amidst challenging macro conditions.

We understand volumes were shy of expectations this quarter, but we think the most telling takeaway from the print was the clear evidence of KO course correcting during the quarter. On this morning's conference call, the company shared that the 3Q volume weakness largely came in July, with performance improving sequentially over August and September. Importantly, we primarily attribute this acceleration over the quarter to actions taken by KO and its bottling partners, as opposed to an evolving macro environment or change in weather patterns. On the call, there were several examples of tactical adjustments made, the discussion of which made us hearken back to work we've published on the KO System over the past few years when the notion of this kind of high quality execution was still in its earliest days ([Institutionalizing The Change](#), 10/08/22; [Proof is in the P&L](#), 01/18/24).

Recall that the notion of the KO System boasting superior in-market execution capabilities thanks to its franchise model was long discussed, but what seemed to be missing for many years was the ability to actually execute on this vision across the network – but now, we'd argue the speed with which KO and its bottling partners can react and pivot business plans is likely something that doesn't get enough credit. Examples of the System mobilizing quickly during 3Q include increasing cold drink equipment investments to boost cooler placements and enhancing affordability for consumers through accelerated refillable offerings and/or smaller packages at better entry points (depending on the market). Of course, increasingly well-informed price pack architecture also remains a cornerstone of the System's approach to granular execution.

We also appreciated the color on the ways in which KO's revamped marketing and innovation model is operating with better agility, such as the work done with AFH partners over the quarter to dial up value messaging within the channel. We'd also point to KO's integrated marketing over 3Q as another proof point of the efficacy of this new approach, with positive results from the Olympics & Paralympics on Powerade, Rock in Rio on trademark Coke, and the experiential activations in the US and Mexico on Topo Chico. And KO shared that its innovation success rates are up YoY, with good traction on scaling Fuze Tea and the introduction of Minute Maid Zero Sugar and Sprite Chill (the latter made into a permanent SKU after originally being slated for a limited time offer), even with the discontinuation of Coke Spiced in 3Q after less than a year in market.

We temper our 2025 estimates given the extent of the currency headwind expected next year, but KO appears committed as ever to strategically investing for growth that should prove supportive for the long-term algorithm. Coming into the 3Q print, we had modeled a -0.4% FX headwind in FY25 (only captured 1H25 given we typically model FX on a NTM basis). Yesterday, KO pointed to a FY25 currency drag of -LSD and -MSD on organic sales and comparable EPS, respectively. And this new FX color for next year was the main driver of our 2025 EPS cut to ~3% growth (from ~6%) – although we'd note our higher net interest expense also shaved ~2c/70 bps off our 2025E EPS.

But KO took care to bring up its resource allocation model multiple times during yesterday's discussion, highlighting to us the company's focus on reinvesting behind higher growth and higher return opportunities. Recall we have been intrigued by the company's data-driven country-category model ever since it was discussed at CAGNY in 2023 and it became a focus area of ours in subsequent months ([Context Behind the Co-Investment](#), 05/15/23). The global

profit pools embedded in the model help identify where to (and to not) allocate resources – and case in point being in North America where support behind Fairlife, Topo Chico and Coca-Cola (coupled with a de-prioritization of case pack water) is driving robust mix and margin expansion. We could also point to the strategic reset underway in China as KO takes advantage of the subdued environment to re-orient the focus on fewer categories with attractive growth and profit profiles (sparkling, tea, juice). And to be sure, KO's improved resource allocation is coupled with better joint business planning with bottling partners, with the entire System better economically aligned now and incentivize to reinvest for long-term growth.

Changes to the model. We raise our 2024 EPS by +1c to \$2.85 (+6.1% growth YoY), driven by the 3Q ~3c beat that is partially offset by a ~2c reduction to our 4Q24 EPS (now \$0.52). And we lower our FY25 EPS by -6c to \$2.95 (+3.3%) due to the larger currency drag and net interest expense now embedded in the bottom line.

Our tempered 4Q24E EPS is driven by a softer topline that reflects the benefit of two additional selling days being offset by continued unwind of overshipments from earlier in the year. Our 4QE OSG is down -200 bps vs. our prior model to +6.5%, with concentrate +0.7% (from +1.6%) and price/mix +9.7% (from +8.5%). From a geographic perspective, EMEA and APAC lead our 4Q estimates lower on account of this unwind dynamic, while Latin America and North America are higher in the final quarter of the year compared to our prior model given solid momentum in these segments. Flowing through the 3Q topline beat (~330 bps) with our tempered 4Q forecast, we now look for FY24 OSG of +10.5% (vs. KO's revised guide for ~10%). Including a ~530 bps currency headwind and ~470 bps structural headwind, we look for all-in net sales growth of +0.4% for the year. We model gross margin expansion of +130 bps and operating margin expansion of +100 bps that are down ~30 bps and ~20 bps, respectively, largely due to greater FX pressure than we previously contemplated.

In FY25, our OSG forecast is up ~90 bps vs. our prior model given we now model some carryover hyperinflation that inflates price/mix (albeit nowhere near 2024 levels). We model price/mix +3.4% (from +2.3%) and concentrate +3.2% (from +3.4%). But inclusive of an expanded -1.5% currency drag and -0.9% structural drag – the latter of which reflecting ~two months left of lapping the Philippines deal that closed in late February 2023 – we model net sales growth of +4.2%. Our underlying & structural margin forecasts are unchanged, but we now embedded greater currency-related drag in our forecast. Our lower operating profit drove -4c of the EPS reduction, with another ~2c trim stemming from below-the-line items, namely interest expense.

We are lower our PT to \$73. Our valuation methodology assumes a +25% premium to Large-Cap Staples peers or ~24.8x multiple on a P/E basis on our 2025 EPS estimate of \$2.95. Our prior price target of \$74 assumed a +25% premium to Large-Cap Staples peers or ~24.6x multiple on a P/E basis on our CY25 EPS estimate of \$3.01.

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The Coca-Cola Company (KO, 23-Oct-2024, USD 68.01), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)
Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)

Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
PepsiCo Inc. (PEP)	Procter & Gamble (PG)	Reynolds Consumer Products (REYN)
The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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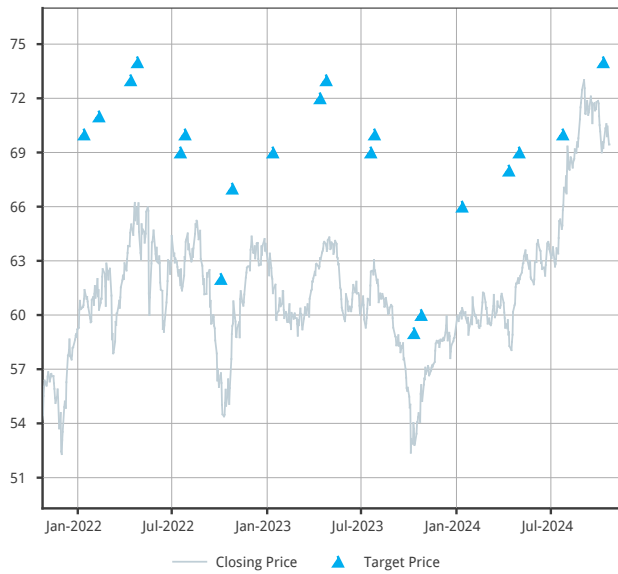
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 68.01** (23-Oct-2024)

Rating and Price Target Chart - USD (as of 23-Oct-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
10-Oct-2024	69.57		74.00
24-Jul-2024	64.96		70.00
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00

On 23-Oct-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 63.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our price target of \$73 is based on a ~24.8x P/E reflecting a +25% premium to Large-Cap Staples peers on our CY25 EPS estimate of \$2.95.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) FX headwinds force downward revision of estimates, 2) Slowdown in CSD category growth, 3) More sugar taxes cloud the dialogue, 4) Deterioration in North American pricing environment would hurt results

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U.S. CHPC & Beverages

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